

Chapter 3:

Criteria for Selecting Options

I bet you are eager to learn how options should be selected. Let's first understand how you should use options.



In my opinion, you should not view options as investments. You cannot, or rather must not, buy and hold options.

Instead, options are tools for playing the momentum. Buying and holding on to them is acceptable only when you use options to hedge an existing position. However, you cannot buy and hold if you want to play a certain view. It applies even if you select the best option available.